

26STCP00690 26STCP00690

County: los-angeles

Division: Civil Law and Motion

Department: 26

Hearing date: 2026-07-30

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Case Number: 26STCP00690 Hearing Date: July 30, 2026 Dept: 26

TENTATIVE RULING:

Petitioner National Default Servicing Corporation is discharged from liability in this action with respect to the surplus funds.

The surplus funds of \$18,178.57 are to be distributed as follows: \$4,544.66 to Claimant Lydia Morales Houghton, and \$4,544.65 each to Claimants Ronald James Ramirez, Rochelle Armijo, and Angel R. Sanchez.

Analysis:

On February 19, 2026, Petitioner National Default Servicing Corporation ("Petitioner") filed the instant Petition and Declaration Regarding Unresolved Claims and Deposit of Undistributed Surplus Proceeds of Trustee's Sale (the "Petition") with respect to the real property located at 120 West 3rd Street, Azusa, California. (Pet., ¶2.) The Court set the hearing on the Petition for June 25, 2026. On June 2, 2026, Claimant Ronald James Ramirez filed a claim. On June 8, 2026, Claimants Angel R. Sanchez and Lydia Morales filed claims to the funds. On June 24, 2026, Claimant Rochelle Armijo filed a claim.

The

Court granted the Petition on June 25, 2026, ordered Petitioner to deposit the funds, and set the hearing on the disbursement of funds for July 30, 2026. (Minute Order, 06/25/26.) Petitioner gave notice of the hearing on the same day and deposited the funds in the amount of \$18,178.57 on July 9, 2026. (Notice of Hearing, filed 06/30/26.) Having deposited the funds and given notice as ordered, Petitioner is now discharged from liability with respect to the

surplus funds.

Claimants Ronald James Ramirez ("Claimant Ramirez"), Rochelle Armijo ("Claimant Armijo"), Lydia Morales Houghton ("Claimant Houghton"), and Angel R. Sanchez ("Claimant Sanchez") make claims to the surplus funds as the nephew and nieces of Carmen P. Morales. Carmen P. Morales executed the deed of trust upon which the subject property was foreclosed. (Pet., ¶3.) According to Claimants, Carmen P. Morales passed away in December 2020 without children. (Ramirez Decl., filed 07/02/26, p. 1:26 and Exh. 1.) Claimant Ramirez declares that his mother, Lucy Morales Ramirez was Carmen Morales' sister; Lucy Morales Ramierz is also deceased. (Id. at p. 26-27 and Exhs. 2-3.) Claimant Armijo is also Lucy Morales' child. (Armijo Decl., ¶¶1-3 and Exhs. A-C.) Claimants Sanchez and Houghton are the daughters of Frank P. Morales, Carmen Morales' older brother. (Sanchez Decl., ¶2 and Exh. A; Houghton Decl., ¶2 and Exh. A.) Frank Morales passed away on May 19, 2020. (Sanchez Decl., ¶6 and Exh. C; Houghton Decl., ¶6 and Exh. C.)

These claims and their supporting documentation demonstrate that Claimants are the heirs of Carmen P. Morales and entitled to a share of the surplus funds from the Trustee's Sale. As none of the four Claimants has shown a greater entitlement to the surplus funds than any other, the funds are divided among them as follows: \$4,544.66 to Claimant Lydia Morales Houghton, and \$4,544.65 each to Claimants Ronald James Ramirez, Rochelle Armijo, and Angel R. Sanchez.

The clerk of court will issue checks to the parties in the above amount. The parties are ordered to cooperate in the preparation and filing a joint proposed order that orders the funds to be paid in the amounts set forth above, and for each recipient, provides the name to use on the check and the address where it should be sent. The parties are to file one proposed order with the required information for all parties.

The Court sets a non-appearance case review for September 29, 2026 re: confirmation of payment by the Clerk's office. Following the Court's confirmation of payment of the above amounts by the Clerk's office, the Court will dismiss this case with prejudice.

Judicial Assistant to give notice.